Theory of Production

Understanding Behaviour of Firm

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Production Function

Law of variable proportions: One variables (L or K)

Concepts

- Fixed inputs
- Variable inputs
- Total Productivity
- Average productivity
- Marginal productivity

Law of variable proportions: Two variables (L and K)

Concepts

- Law of diminishing
- Isoquant
- Rate of substitutions
- Marginal rate of technical substitution (MRTS)

Equilibrium of the Firm: Choice of Factors of Production
(Isoquant and Isocost line)

Returns to Scale

1. Constant Returns to Scale

2. Increasing Returns to Scale

3. Decreasing Returns to Scale

Cost of Production

1. Accounting Cost
2. Economic cost
3. Opportunity cost
4. Sunk cost

Relationship between ATC, AVC, AFC, MC

- Total Revenue (TR), Total Cost (TC) and Profit
- TC, TF, TVC
- ATC (AC), AFC, AVC
- Marginal Cost (MC) and Marginal Product (MP), law of diminishing returns

- TC= TF + TVC
- ATC= AFC + AVC